Unit 3: Planning and Decision Making

Contents;

- ✓ ***Concept of planning, Levels of planning: Strategic, Tactical and operational.***
- ✓ ***Steps in planning.***
- ✓ ***Tools for planning.***
- ✓ ***Decision making: Meaning, types and process.***
- ✓ ***Decision making conditions - certainty, risk and uncertainty. …….(LH 7)***

✓ *Concept of planning, Levels of planning: Strategic, Tactical and operational.*

❖ Concept of planning

Planning is based on the theory of "thinking before acting". It is considered the most and primary function of management. In this function, manager pre- decides and defines the outline of the activities to be conducted in the organization. Planning is the process of deciding when, what, when where and how to do a certain activity before starting to work.

Planning is thus:-

- Planning is concerned with future and it helps the management to look ahead.
- It involves thinking about organization's prosperity and helps analysis of information.
- It involves a predetermined course of action.
- It specifies the objectives to be attained in the future.
- It relates with thinking before doing.
- It involves both decision-making and problem solving.
- Its objective is to achieve better results.

❖ *Levels of planning: Strategic, Tactical and operational*

There are basically three levels of planning associated with the different managerial levels these are:

1. Strategic Planning:

Strategic planning is the process of determining overall objectives of the organization and the policies and strategies. Top level management (i.e. board of directors or governing body) of the organization is involved in strategic planning, which is long range and has a major impact on the organization. A strategic plan usually covers a time period of **upto ten years** and involves a major commitment of resources. It determines the direction the company will be taking from where it is and where it wants to be.

2. Tactical Planning:

While strategic planning focuses on where the organization will be in the future, tactical planning, also known as "intermediate planning" emphasizes on how it will be done. Such planning generally covers a shorter period of time, usually between **one**

and two years and involves middle management such as functional managers, department heads, product line managers and so on.

The middle management will have a critical look at the resources available and they will determine the most effective and efficient mix of human, financial and material factors in order to achieve the organizational objectives in the most efficient manner.

3. Operational Planning:

Operational plans are the responsibility of lower level management and involve supervisors, foremen and so on. These are short range plans covering a time span of about **one week to one year.** These plans are more specific and they determine how a specific job is to be completed in the best possible way.

Most operational plans are divided into functional areas such as production, finance, marketing, personnel and so on. For example, production plans would require an analysis and decisions covering inventory levels of raw materials as well as finished product, flexibility of current production facilities, and so on. These plans are linked with the planning objectives of the middle management and top management.

✓ *Steps in planning*

Every business has its own problems, and so planning details differ from business-to-business. However, planning process follows certain necessary steps in all the types of business. It is summarized as follows:

Step 1: Perception of Opportunities

Perception of opportunities is not strictly a part of the planning process. But this awareness of opportunities in the external environment as well as within the organisation is the real starting point for planning. It is important to take a preliminary look at possible future opportunities.

Step 2: Setting Objectives

This is the second and perhaps the most important step of the planning process. Here we establish the objectives for the whole organization and also individual departments. Organizational objectives provide a general direction, objectives of departments will be detailed. Objectives can be long term and short term as well.

Step 3: Planning Premises

After determination of organisational objectives, the next step is establishing planning premises that is the conditions under which planning activities will be undertaken. Planning premises are planning assumptions. Thus planning premises are external and internal. External premises include factors like political, social, technological, competitors, plans and actions, government policies etc. Internal factors include organisation's policies, resources of various types. The plans are formulated in the light of both external and internal factors.

Step 4: Identification of Alternatives

The fourth step in planning is to identify the alternatives. Various alternatives can be identified based on the organisational objectives and planning premises. The concept of various alternatives suggests that a particular objective can be achieved through various actions.

For example, if an organisation has set its objectives to grow further, it can be achieved in several ways like expanding in the same Field of business or product line diversifying in other areas, joining hands with other organisations, or taking over another organisation and so on. Within each category, there may be several alternatives.

Step 5: Evaluation of Alternatives

The various alternative course of action should be analyzed in the light of premises and goals. There are various techniques available to evaluate alternatives. The evaluation is to be done in the light of various factors. The alternatives should give us the best chance of meeting our goals at the lowest cost and highest profit.

Step 6: Selecting the Alternative Plans

Finally, we reach the decision making stage of the planning process. This is the real point of decision-making. An analysis and evaluation of alternative courses will disclose that two or more alternative. Now the best and most feasible plan will be chosen to be implemented.

Step 7: Formulation of Supporting Plan

After formulating the basic plan, various plan are derived so as to support the main plan. In an organisation there can be various derivative/secondary plans like planning for buying equipment, buying raw materials, recruiting and training personal, developing new product etc. So all these secondary plans are in fact part of the main plan.

Step 8: Implementation of the Plan

And finally, we come to the last step of the planning process, implementation of the plan. After formulating basic and derivative plans, the sequence of activities is determined so those plans are put into action. After decisions are made and plans are set, budgets for various periods can be prepared to give plans more concrete meaning for implementation.

✓ ***Tools for planning***

There are some tools which aid managers in performing their planning functions. They are as follows:

1. Forecasting:

Forecasts are prediction, projections or estimates of future situation. It is primarily concerned with trying to reduce the uncertainty that exists about some part of the future. In the forecasting techniques, the role of information collected from different

sources is very significant. Wrong information may lead to wrong forecast. The number of tools is available for forecasting. They are;

i. Moving Average method: This method gives a time series of moving averages. It helps to eliminate the effects of seasonality and other irregular trends while forecasting the future figures.
ii. Time Series Analysis: Under this technique past information related to sales volume are used to predict the future demand of the product. The assumption of time series analysis is that the future will reflect the past. This method is especially suited for long range forecasting.
iii. Extrapolation method: It is a projection or trend method. It involves the plotting of the figures for the past several years and stretching of the line. This extrapolation gives the figure for the coming years.
iv. Regression analysis: Under this technique linear equation is used to interpret the relation between variables and forecasting the relation between independent and dependent variables.

2. **Linear Programming:**

Linear Programming Technique is mostly useful for maximizing an objective such as profit or minimizing an objective such as cost. Under limited resources, what combination of variables gives the optimal solution (i.e., in maximizing profit or minimizing costs) is identified through this technique. It includes maximizing production, minimizing distribution cost and determining optimal inventory level.

3. **Break Even Analysis:**

Break Even (BE) Analysis is also called Cost-Volume Profit Analysis. It gives information about price and profit decision. The objective of BE analysis is to determine the quantity at which the product or services will generate enough revenue to start earning a profit. The equation used to calculate the BE analysis is:

BEP = Fixed cost / (Selling price per unit - Variable cost per unit)

The break-even point (BEP) is the point where a business's revenues equals its costs. If a business's revenue is below the break-even point, then the company is operating at a loss. If it's above, then it's operating at a profit.

4. Benchmarking

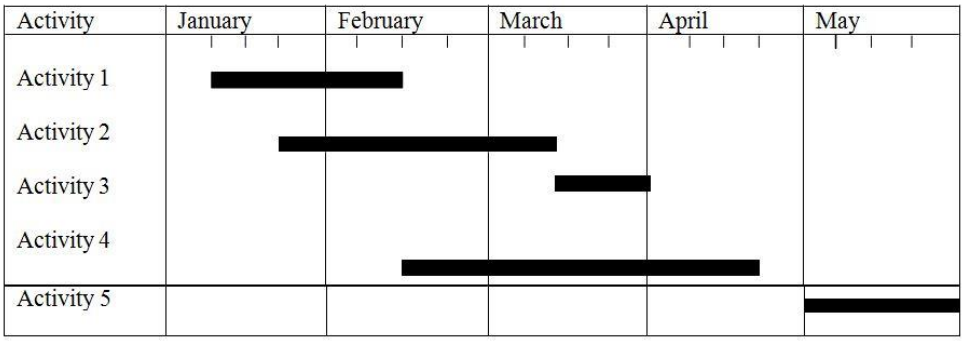
Benchmarking can be done qualitatively or quantitatively, and it is a comparative approach to strategy. Benchmarking usually requires the identification of a close competitor with similar strategy so that the strategist can compare and contrast the two companies' strengths and weaknesses, identifying strategies for improvements or competitive advantages.

5. **Gantt Chart:**

Gantt Chart is another very useful tool for planning and monitoring project activities. It has a X-axis and Y-axis. On the horizontal axis, the duration of project in days or weeks is shown. On the vertical axis each individual activity is shown. A bar is then

drawn for each activity that shows the beginning and ending times of different stages in the process. This enables the manager to monitor progress and deviation from the plan at a glance.

The Gantt chart:



✓ ***Decision making: Meaning, types and process***

Decision- making: Meaning

Decision-making is an important function of every manager. Under planning important things like, 'what is to be done', 'how it is to be done', when it is to be done and who is to do it are considered. In an answer to all these questions a manager has various alternatives. When a manager chooses the best alternative out of many available ones, it is called decision and the process that has been adopted in order to reach the final decision is known as the decision-making.
Decision-making means reaching a conclusion or final decision which can be implemented as a solution of a problem. A decision is essential in all the managerial functions like planning, organizing, staffing, directing, and controlling. All the managerial functions are performed through the medium of a decision.

Different management scholars have defined Decision making as follows:

George Terry-
"Decision making is the selection based on some criteria from two or more alternatives."
Louis Allen-
"Decision making is the work a manager performs to arrive at conclusion and judgement."

Decision making: Types

The following are the main types of decisions every organization need to take:

1. Programmed and non-programmed decisions:

Programmed decisions are concerned with the problems of repetitive nature or routine type matters. A standard procedure is followed for tackling such problems. These decisions are taken generally by lower level managers. Decisions of this type may

pertain to e.g. purchase of raw material, granting leave to an employee and supply of goods and implements to the employees, etc.

Non-programmed decisions relate to difficult situations for which there is no easy solution. These matters are very important for the organisation. For example, opening of a new branch of the organisation or a large number of employees absenting from the organisation or introducing new product in the market, etc., are the decisions which are normally taken at the higher level.

2. Routine and Basic decisions:

Routine decisions are related to the day-to-day operation of the organization. Such a decision is taken promptly and also implemented in a similar way. In regular activities of the organization, many repetitive problems may arise. The management has to solve such problems in proper time, by remaining within the rules and procedures of the organization. Such types of decisions are given by lower-level management to continue organizational activities.

Basic decisions are also known as a strategic decision. Such decisions are necessary for long-run survival and growth of business activities of the organization. Generally, top-level management is responsible for taking such types of decisions. For such decisions, creativity, through a study of future impacts, judgment, and knowledge of management are necessary.

3. Tactical (Policy) and operational decisions:

Decisions pertaining to various policy matters of the organisation are policy decisions. These are taken by the top management and have long term impact on the functioning of the concern.

Operating decisions relate to day-to-day functioning or operations of business. Middle and lower level managers take these decisions.

An example may be taken to distinguish these decisions. Decisions concerning payment of bonus to employees are a policy decision. On the other hand if bonus is to be given to the employees, calculation of bonus in respect of each employee is an operating decision.

4. Organisational and personal decisions:

Organizational decisions are also known as formal or official decisions. In such decisions, the decision-maker has to consider his official authority before he comes to any decision. Besides, he has to fulfill all the official procedures, system and formalities for taking any decision.

Personal decisions are known as an informal or individual decision. Such a decision is taken on the basis of personal skill, knowledge, and capacity of the individual. Such a decision does not affect the regular performance of the organization because they are made on the basis of personal interest, desire, and necessity of the decision-maker.

5. Major and minor decisions:

Another classification of decisions is major and minor. Decision pertaining to purchase of new factory premises is a major decision. Major decisions are taken by

top management. Purchase of office stationery is a minor decision which can be taken by office superintendent.

6. Individual and group decisions:

When the decision is taken by a single individual, it is known as individual decision. Usually routine type decisions are taken by individuals within the broad policy framework of the organisation.

Group decisions are taken by group of individuals constituted in the form of a standing committee. Generally very important matters for the organisation are referred to this committee. The main aim in taking group decisions is the involvement of maximum number of individuals in the process of decision- making.

Decision making: Process

The decision making involves certain logical process which should be followed in the sequence by the manager. A decision to a business problem cannot be arrived immediately without any effort. It is a step by step process and involves mental work also.

Step 1: Problem identification

Decision making process starts with the identification of the problem. It is to recognize the real problem that needs decision making. Problems arise due to disparity (distinction) between what is and what should be. To recognize the problems quickly, the manager should continuously monitor the decision making environment, understand the possible causes and try to define the real problem carefully. In order to identify the exact nature of the problem he has to use imagination, experience and judgment.

Step 2: Classification and gathering of data

After recognizing the problem, the next step of decision making involves classifying the problems and gathering information. It is necessary to find out who should take the decision, what information would be needed and from where the information is available. If facts and actual information is not available, it may be estimated to the best of information available.

Step 3: Diagnosing the problem

Diagnosing the problem means knowing the real cause of the gap between what is and what should be. All facts and information must be collected and analyzed to diagnose the problem quickly and correctly. In diagnosing process, most important part is to find out the real causes or the sources of problem.

Step 4: Developing alternatives

A wide range of alternatives increases the freedom of decision maker. The alternatives which are possible to accomplish should only be considered. The decision maker's past experience, practices followed by others and using creative techniques are the various sources of identifying the alternatives.

Step 5: Analysis of alternatives

The next step after identifying the alternatives is to analyze each alternative which seems important. Only those alternatives should be screened out which have good prospects taking in consideration to the cost and time. Alternatives which do not meet the requirement are rejected. The alternatives are also grouped into class on some specific criteria important to decision making. All the alternatives in the group are then analyzed in detail.

Step 6: Evaluation of alternatives

The group of alternatives should be then evaluated in terms of risk involved and resources available. They should be considered in relation to efforts involved and results expected. Both tangible and intangible factors should be considered while evaluating different alternatives.

Step 7:Selection of best alternative

The decision maker has to select the best alternatives after the evaluation of various alternatives. The selected alternative should contribute maximum to the given objectives. The outcome of each alternative is compared to the organizational objectives. The most acceptable alternative is then taken into consideration for implementation.

Step 8:Implementation of decision

After the best alternative is selected, it is implemented into action. Being a continuous and ongoing process, decision-making process does not stop after choosing the alternative but the decision maker should also know whether his choice has contributed to the objective or not. Thus, implementation of decision is very important.

Step 9: Follow-up

The implementation of the decision should be constantly monitored. It may be defective and may cause loss to the organization. Its progress should be watched carefully to minimize the chances of loss. If decision is not fulfilling the desired results, necessary changes should be made in the decision or in its implementation.

✓ Decision making conditions - certainty, risk and uncertainty.

Everyday a manager has to make many decisions in the organization. There are different conditions in which decisions are made. Managers sometimes have an almost perfect understanding of conditions surrounding a decision, but in other situations they may have little information about those conditions.

So, the decision maker must know the conditions under which decisions are to be made. Generally, the decision maker makes decision under the condition of (1) Certainty, (2) Risk, and (3) Uncertainty.

Certainty

When the certainty conditions are present, it can be reasonably expected by the managers what is going to happen when a particular decision has been taken by them. Certainty is a condition under which the manager is well informed about possible alternatives and their outcomes. The condition of certainty exists in case of routine decisions such as allocation of resources for production, payment of wages and salary etc.

Risk

Mostly the managers have to take business decisions under risk situations. In a risk situation, managers can guess the probable outcome on the basis of their experience, research and other available information. They can choose an alternative with highest expected outcome. Decision making under conditions of risk is accompanied by moderate ambiguity or doubtfully and chances of an impractical decision. On the other hand, the managers may also use subjective probability that is based on their experience and judgment. For this purpose, several tools are available to the managers that can help in taking decisions under risk conditions.

Uncertainty

In case of uncertainty conditions, very little information is available to the managers and the managers are not sure regarding the reliability of such information. A state of uncertainty occurs when managers are unaware of the problem they face. They do not know all the alternatives and outcomes. This uncertainty arises from the complex and dynamic environment. Managers have limited information to calculate the degree of risk, so statistical analysis is not possible. The condition of uncertainty arises when the organization introduces a new or innovative product or service, adopts new technology, selects new advertising program etc. To make effective decision in uncertain conditions, managers must acquire as much relevant information as possible. However, there are certain techniques that can be used by the managers for making a better decision under uncertainty conditions. For example, they may use decision trees, risk analysis and preference theory etc.